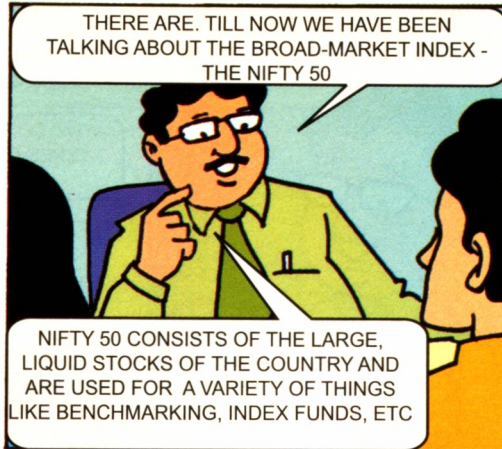


ARE THERE DIFFERENT TYPES OF INDICES?



THERE ARE. TILL NOW WE HAVE BEEN TALKING ABOUT THE BROAD-MARKET INDEX - THE NIFTY 50

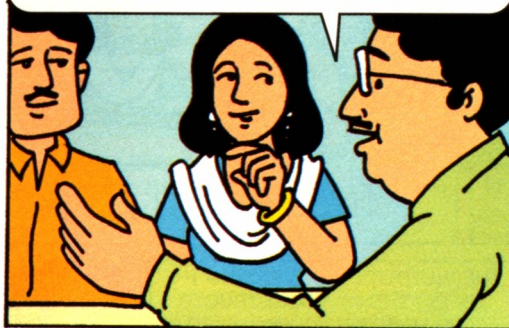
NIFTY 50 CONSISTS OF THE LARGE, LIQUID STOCKS OF THE COUNTRY AND ARE USED FOR A VARIETY OF THINGS LIKE BENCHMARKING, INDEX FUNDS, ETC



IN ADDITION THERE ARE MORE SPECIALISED INDICES THAT OFFER INTERESTING APPLICATIONS.



THE MOST COMMON ARE THE SECTORAL INDICES. A BANK INDEX, FOR EXAMPLE, WOULD INCLUDE ONLY BANK STOCKS.



SO THERE CAN BE AS MANY INDICES AS THERE ARE SECTORS

CORRECT! PLUS YOU HAVE INDICES BASED ON THE MARKET CAP OF COMPANIES



FOR EXAMPLE, THE NSE OFFERS A MID CAP INDEX WHICH COMPRISES MEDIUM MARKET CAP COMPANIES.

